

08 Jul 2026 03:54:31 ET | 16 pages

Leader Drive (688017.SS)

Shifting Focus to Humanoid Robot from Industrial Robot; Buy

CITI'S TAKE

We believe that Leader Drive (LD) is gradually switching its business focus from industrial robot to humanoid robot (and cobot), which is evidenced by the fact that **1) LD formed a humanoid robot joint JV with Minth (425.HK, covered by Kyle Wu) in the US in Feb-26** and **2) LD established a humanoid precision components JV with SKF (SKFb.ST, covered by Klas Bergelind) in China in Jul-26**. For industrial robot, LD targets the “**Big Four**” and less price sensitive clients so that it is no longer the largest harmonic reducer supplier to Estun (002747.SZ/2715.HK), China’s largest industrial robot maker. We are positive about LD’s strategy shift as the humanoid robot joint is an evolving market with less competition and faster growth potentially. We view today’s share price correction as an enhanced buying opportunity ahead of the humanoid robot production ramp of its potential US client.

JV with SKF – Our checks show that the JV will mainly manufacture bearings used on humanoid robots, including [crossed roller bearing](#) (ideal for hip or shoulder joint), flexible bearing (for harmonic reducer’s flexspline), [four-point contact ball bearing](#), etc. A humanoid robot could use at least 60–70 units of bearings in total, and the dollar content could vary from 5% to 15% of a humanoid robot’s BOM (Bill of Materials), depending on design.

Production ramp of US client – Our supply chain check suggests that LD’s potential US humanoid robot client, Tesla Optimus, is about to ramp up its humanoid robot production momentarily, and the production volume could be ~1k/~19k in 3Q/4Q26 although this is slightly later than our previous industry checks. If the US client could meet 20k production volume in 2026, its Chinese suppliers estimate the production volume to become 10-fold (~200k) in 2027, based on our conversations with suppliers.

Our view – We reiterate our Buy rating on LD, expecting its humanoid robot revenue contribution to increase to 40%–50% in 2026E from ~20% in 2025. We also like [Hengli Hydraulic \(601100.SS, planetary roller screw\)](#) for its humanoid optionality.

What’s next? – 1) Citi Industrial Team’s joint call at 5:30pm HKT / 10:30am CET, 8 July: Humanoid Robots: Industry update as SKF joins the supply chain ([Webcast Link](#) | [Video Link](#)). 2) Laifual Harmonic (3952.HK) Post IPO Business Update Call (Mandarin) at 10:00am HKT, 10 July. ([Register](#))

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(RmbM)	(Rmb)	(%)	(x)	(x)	(%)	(%)
2024A	56	0.332	-33.5	na	19.3	2.1	0.0
2025A	124	0.678	104.5	na	20.3	3.6	0.1
2026E	192	1.047	54.4	na	19.4	5.3	0.1
2027E	283	1.542	47.2	na	18.3	7.4	0.1
2028E	387	2.111	36.9	185.2	17.0	9.5	0.2

Source: Powered by dataCentral

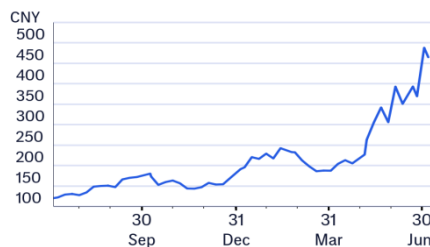
Buy

Short-Term View: Upside, expires 01-OCT-26

Price (08 Jul 26 15:00)	Rmb391.000
Target price	Rmb496.000
Expected share price return	26.9%
Expected dividend yield	0.1%
Expected total return	26.9%
Market Cap	Rmb71,682M
	US\$10,589M

Price Performance

(RIC: 688017.SS, BB: 688017 CH)


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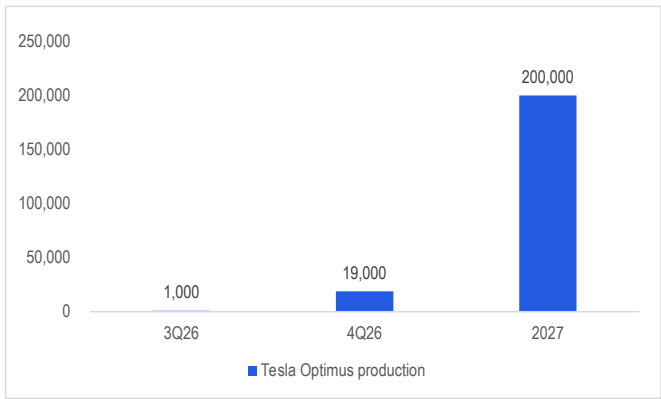
See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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688017.SS: Fiscal year end 31-Dec						Price: Rmb391.000; TP: Rmb496.000; Market Cap: Rmb71,682m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	387	571	980	1,439	1,931	PE (x)	na	na	na	na	na
Cost of sales	-242	-360	-633	-923	-1,230	PB (x)	19.3	20.3	19.4	18.3	17.0
Gross profit	145	211	347	516	701	EV/EBITDA (x)	na	na	na	na	na
Gross Margin (%)	37.5	36.9	35.4	35.8	36.3	FCF yield (%)	0.0	0.1	0.1	0.2	0.4
EBITDA (Adj)	74	143	221	342	479	Dividend yield (%)	0.0	0.1	0.1	0.1	0.2
EBITDA Margin (Adj) (%)	19.0	25.0	22.5	23.7	24.8	Payout ratio (%)	30	31	30	30	30
Depreciation	-51	-55	-67	-93	-121	ROE (%)	2.1	3.6	5.3	7.4	9.5
Amortisation	-5	-5	-3	-3	-4	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	18	83	150	245	355	EBITDA	74	143	221	342	479
EBIT Margin (Adj) (%)	4.6	14.6	15.3	17.1	18.4	Working capital	-105	-16	-91	-166	-149
Net interest	0	-2	0	0	0	Other	59	25	31	18	2
Associates	0	-1	0	0	0	Operating cashflow	28	152	160	193	333
Non-Op/Except/Other Adj	43	64	71	80	90	Capex	-32	-100	-62	-68	-75
Pre-tax profit	61	144	222	326	445	Net acq/disposals	-280	-663	43	52	62
Tax	-5	-18	-28	-41	-57	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	0	-1	-1	-1	-1	Investing cashflow	-312	-762	-19	-16	-13
Reported net profit	56	124	192	283	387	Dividends paid	-63	-22	-38	-58	-86
Net Margin (%)	14.5	21.8	19.6	19.6	20.0	Financing cashflow	840	-168	-38	-58	-86
Core NPAT	56	124	192	283	387	Net change in cash	555	-779	103	118	234
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	-4	52	98	125	258
Reported EPS (Rmb)	0.332	0.678	1.047	1.542	2.111						
Core EPS (Rmb)	0.332	0.678	1.047	1.542	2.111						
DPS (Rmb)	0.100	0.210	0.318	0.468	0.640						
CFPS (Rmb)	0.165	0.829	0.874	1.053	1.815						
FCFPS (Rmb)	-0.026	0.285	0.536	0.680	1.405						
BVPS (Rmb)	20.297	19.292	20.126	21.350	22.994						
Wtd avg ord shares (m)	169	183	183	183	183						
Wtd avg diluted shares (m)	169	183	183	183	183						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	8.8	47.3	71.7	46.9	34.2						
EBIT (Adj) (%)	-57.4	364.8	80.8	63.4	44.5						
Core NPAT (%)	-33.3	121.4	54.4	47.2	36.9						
Core EPS (%)	-33.5	104.5	54.4	47.2	36.9						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	1,525	746	848	967	1,201						
Accounts receivables	147	195	236	303	349						
Inventory	246	285	443	646	861						
Net fixed & other tangibles	1,320	1,110	1,103	1,077	1,029						
Goodwill & intangibles	59	57	55	53	52						
Financial & other assets	459	1,537	1,549	1,562	1,575						
Total assets	3,755	3,929	4,234	4,608	5,067						
Accounts payable	67	168	316	462	615						
Short-term debt	69	0	0	0	0						
Long-term debt	40	0	0	0	0						
Provisions & other liab	149	218	220	223	226						
Total liabilities	325	386	537	685	841						
Shareholders' equity	3,425	3,538	3,691	3,915	4,216						
Minority interests	5	6	8	9	11						
Total equity	3,430	3,544	3,699	3,924	4,227						
Net debt (Adj)	-1,416	-746	-848	-967	-1,201						
Net debt to equity (Adj) (%)	-41.3	-21.1	-22.9	-24.6	-28.4						

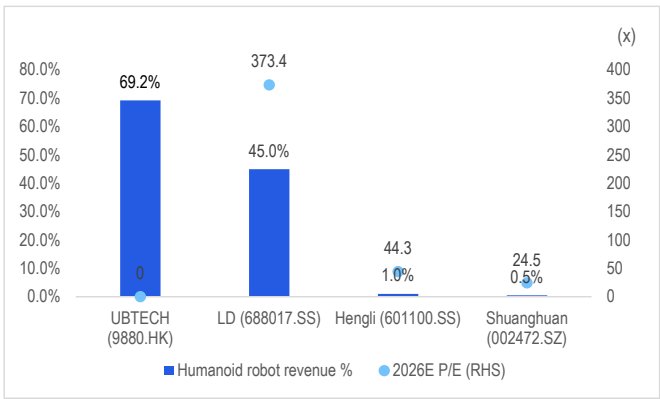
For definitions of the items in this table, please click [here](#).

Figure 1. Tesla Optimus production estimates



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*The production estimates are based on our talks with Chinese component suppliers
Source: Company Reports and Citi Research Estimates

Figure 2. Humanoid robot revenue % vs. 2026 P/E among our coverage



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*UBTECH is still loss-making

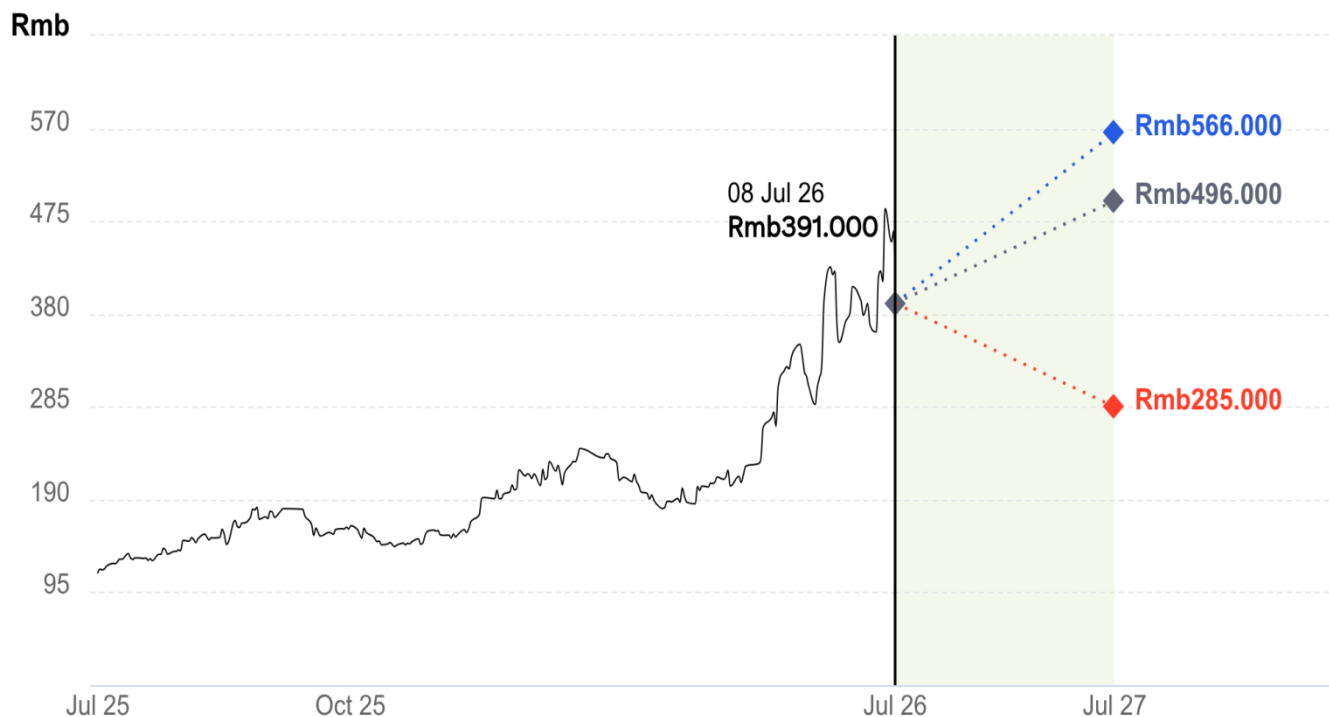
Source: Company Reports and Citi Research Estimates

Bull/Bear: Leader Drive (688017.SS)

Rmb **566.000**
▲45% Upside

Rmb **496.000**
▲27% Upside

Rmb **285.000**
▼27% Downside



Spread 72pp
Current Price and expected returns (upside/downside) as of 08 Jul 2026



BULL Assumptions

- Valuation expands to 367x P/E on faster earnings growth



BASE Assumptions

- Valuation is based on 322x 2027E P/E



BEAR Assumptions

- Valuation shrinks to 230x P/E on weaker earnings growth

Leader Drive

Company description

Leader Harmonious Drive Systems (Leader Drive, or LD) produces and sells precision reducers. It specializes in harmonic reducers and manufactures mechatronic actuators and precision parts. LD provides its products to both domestic and overseas customers in industrial robots, service robots, CNC machine tools, aerospace, and medical equipment areas. LD listed on the Shanghai STAR Market on August 28, 2020, at a public offering price of RMB35.06 per share, raising RMB1.06bn. The initial listing shares account for 25% of total outstanding shares.

Investment strategy

We have a Buy rating with a target price of Rmb496. We believe LD's stronger-than-expected business recovery with rising contribution from the humanoid robot products in 2026E onwards could re-rate LD's valuation to 2023 level when the market was hyping about LD's humanoid robot exposure.

Valuation

Our target price for LD of Rmb496 is based on 322x 2027E P/E, set at +1.5x SD to reflect its stronger-than-expected visibility for both humanoid and industrial robots.

Risks

Key fundamental downside risks that could cause the stock price deviate from our target price include: 1) slower growth in the automation market; 2) intensifying competition from foreign or local brands due to industry consolidation; 3) higher raw material costs eroding GPM; and 4) lower contribution from humanoid robot and other emerging applications.

Hengli Hydraulic

(601100.SS; Rmb115.93; 1; 07 Jul 26; 15:00)

Valuation

Our target price for Hengli of Rmb160.0 is based on 50x 2027E P/E, which is equal to its average P/E + 0.5x SD, to reflect its strong core business and potential re-rating due to rising humanoid robot exposure.

Risks

Key fundamental downside risks include: 1) weaker demand for excavator and non-excavator components; 2) weaker profitability of ball screw and Mexico plants due to weaker economies of production scale; and 3) lower-than-expected GPM on favorable product mix change. Any of these risk factors could cause the stock to deviate from our target price.

Shuanghuan Drive

(002472.SZ; Rmb44.97; 1; 07 Jul 26; 15:00)

Valuation

We value Shuanghuan at Rmb45.0/share, set at 26x 2026E EPS which is equal to its average P/E over the past five years.

Risks

Our quant rating is High Risk for Shuanghuan, but we think it is unwarranted as the outlook for NEV gear and RV reducers has improved. Downside risks that could impede the stock from reaching our TP include: 1) lower-than-expected shipments of NEV gears; 2) weaker GPM due to higher depreciation expenses; and 3) slower-than-expected localization of RV reducers.

UBTECH Robotics

(9880.HK; HK\$93.35; 1; 07 Jul 26; 16:10)

Valuation

We value loss-making UBTECH using P/S. Our target price of HK\$125.0 is based on 13x 2026E P/S, similar to its average P/S since 2025.

Risks

Downside risks that could prevent the stock from reaching our target price include: 1) weaker-than-expected revenue growth, 2) slower-than-expected humanoid robot development, and 3) worse-than-expected profitability due to higher R&D costs and smaller economies of scale.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

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IMPORTANT DISCLOSURES

Shuanghuan Drive (002472.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	05-Nov-23 18:29:09	1	*33.00	27.73
2	12-Apr-24 12:27:27	1	*28.00	21.60

*Indicates Change

	Date	Rating	Target Price	Closing Price
3	17-Feb-25 10:44:22	1	*42.00	36.38
4	04-Nov-25 01:57:49	1	*50.00	41.42

	Date	Rating	Target Price	Closing Price
5	24-Apr-26 07:23:19	1	*45.00	36.63

Rating/target price changes above reflect Eastern Time

Leader Drive (688017.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	30-Jul-24 08:24:54	3	*50.00	71.15
2	12-Nov-24 22:28:37	3	*90.00	125.50
3	09-May-25 15:47:47	3	*105.00	141.99

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	17-Aug-25 19:06:13	*1	*175.00	148.31
5	26-Nov-25 22:47:23	1	*187.00	145.31
6	07-Jan-26 13:19:54	1	*233.00	190.88

	Date	Rating	Target Price	Closing Price
7	23-Apr-26 12:27:07	1	*238.00	203.77
8	08-Jun-26 03:41:43	1	*496.00	428.25

Rating/target price changes above reflect Eastern Time

Hengli Hydraulic (601100.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	03-Sep-23 11:12:07	1	*80.00	64.08
2	16-Oct-23 11:50:01	1	*74.00	59.56
3	07-Nov-23 17:22:26	1	*68.00	57.30
4	23-Apr-24 06:18:54	1	*59.00	51.24

*Indicates Change

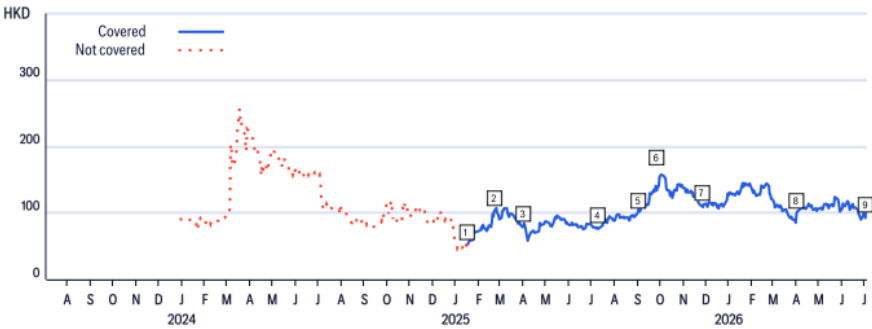
	Date	Rating	Target Price	Closing Price
5	27-Aug-24 09:15:53	1	*62.00	48.12
6	29-Apr-25 11:21:40	1	*85.00	73.71
7	26-Aug-25 10:25:10	1	*105.00	86.90
8	18-Dec-25 11:38:03	1	*135.00	105.00

	Date	Rating	Target Price	Closing Price
9	22-Apr-26 11:42:00	1	*125.00	101.08
10	11-Jun-26 23:42:55	1	*160.00	122.51

Rating/target price changes above reflect Eastern Time

UBTECH Robotics (9880.HK)
Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	16-Jan-25 08:07:24	*1H	*70.00	51.85
2	23-Feb-25 15:30:58	1H	*142.00	102.40
3	01-Apr-25 13:16:23	1H	*108.00	79.75

	Date	Rating	Target Price	Closing Price
4	09-Jul-25 03:02:26	1H	*98.00	77.60
5	01-Sep-25 01:00:52	1H	*121.00	100.30
6	25-Sep-25 12:48:03	*1	*170.00	140.80

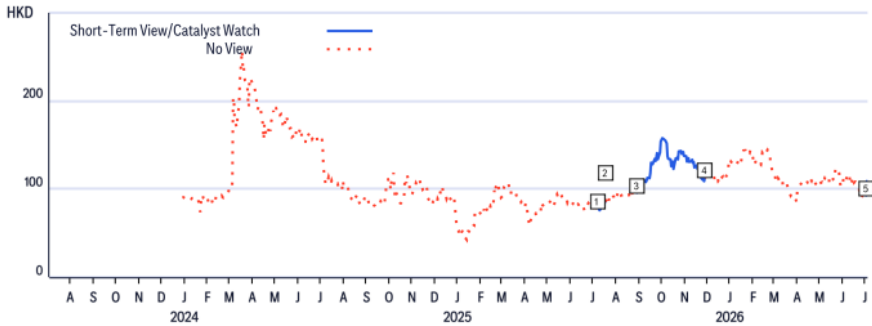
	Date	Rating	Target Price	Closing Price
7	26-Nov-25 04:46:24	1	*155.00	111.10
8	01-Apr-26 14:45:59	1	*190.00	100.00
9	02-Jul-26 12:44:59	1	*125.00	92.60

*Indicates Change

Rating/target price changes above reflect Eastern Time

UBTECH Robotics (9880.HK)
Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Jul-25 23:02:26	Add CW	Downside	90 Days	78.20
2	20-Jul-25 13:48:00	Remove CW	Downside	90 Days	85.75

	Date	Action	Expected Direction	Duration	Closing Price
3	31-Aug-25 21:00:52	Add STV	Upside	90 Days	95.70
4	30-Nov-25 22:33:44	Remove STV	Upside	90 Days	113.00

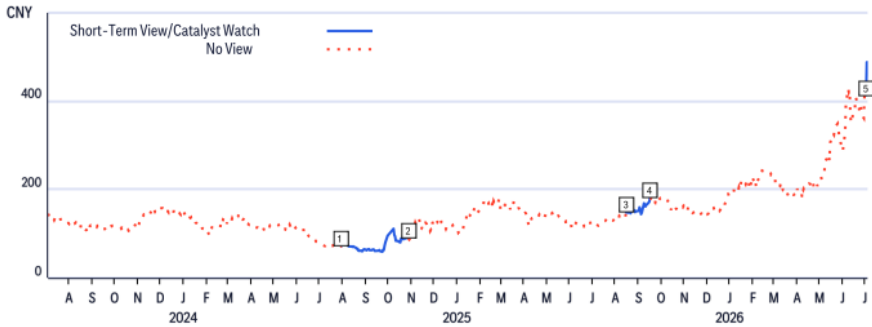
	Date	Action	Expected Direction	Duration	Closing Price
5	02-Jul-26 08:44:59	Add CW	Downside	90 Days	92.60

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Leader Drive (688017.SS)
Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	30-Jul-24 04:24:54	Add STV	Downside	90 Days	71.15
2	28-Oct-24 23:28:10	Remove STV	Downside	90 Days	89.31

	Date	Action	Expected Direction	Duration	Closing Price
3	17-Aug-25 15:06:13	Add STV	Upside	30 Days	148.31
4	16-Sep-25 23:18:07	Remove STV	Upside	30 Days	180.39

	Date	Action	Expected Direction	Duration	Closing Price
5	02-Jul-26 09:15:55	Add STV	Upside	90 Days	413.05

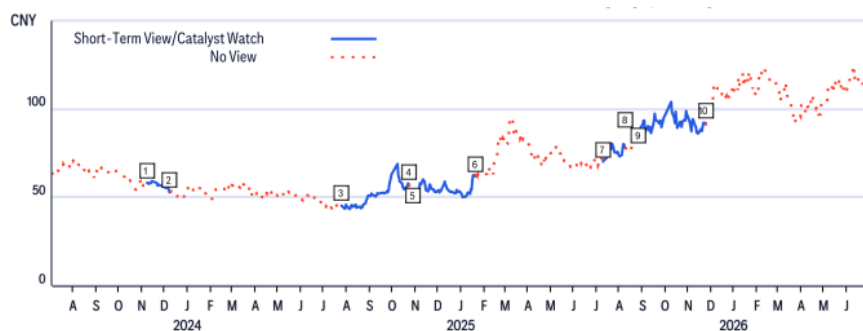
CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Hengli Hydraulic (601100.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Nov-23 02:23:35	Add CW	Downside	30 Days	58.22
2	08-Dec-23 11:00:30	Remove CW	Downside	30 Days	52.77
3	25-Jul-24 02:08:49	Add STV	Upside	90 Days	45.28
4	23-Oct-24 23:28:11	Remove STV	Upside	90 Days	57.35

	Date	Action	Expected Direction	Duration	Closing Price
5	29-Oct-24 20:50:50	Add CW	Downside	90 Days	53.00
6	20-Jan-25 01:12:43	Remove CW	Downside	90 Days	61.91
7	10-Jul-25 04:48:00	Add CW	Upside	30 Days	70.20
8	08-Aug-25 14:18:06	Remove CW	Upside	30 Days	78.13

	Date	Action	Expected Direction	Duration	Closing Price
9	26-Aug-25 06:25:10	Add STV	Upside	90 Days	86.90
10	24-Nov-25 21:14:47	Remove STV	Upside	90 Days	92.06

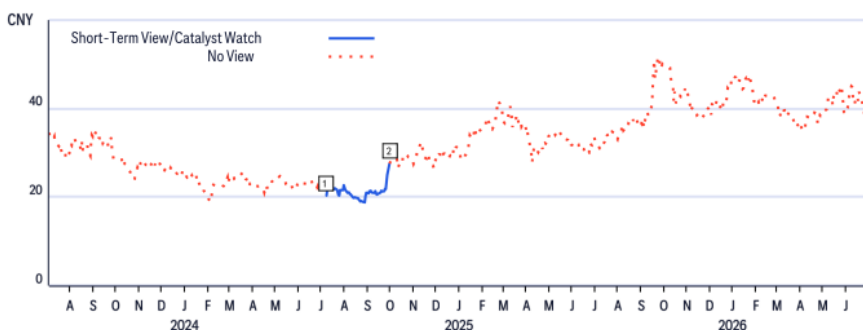
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Shuanghuan Drive (002472.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Jul-24 08:20:28	Add STV	Upside	90 Days	20.35

	Date	Action	Expected Direction	Duration	Closing Price
2	06-Oct-24 23:26:16	Remove STV	Upside	90 Days	27.56

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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The Firm is a market maker in the publicly traded equity securities of UBTECH Robotics.

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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